1996

CORPORATE FOODS LIMITED

Annual Report

Canada's Only National Bakery Company

CORPORATE PROFILE

Financial Highlights – Page 1

Report to Shareholders – Page 3

Operations & Financial Review – Page 8

Management's Statement of Responsibility – Page 20

Auditors' Report – Page 21

Consolidated Financial Statements – Page 22

Five Year Summary – Page 30

Corporate Directory – Page 31

Shareholder Information – Page 32

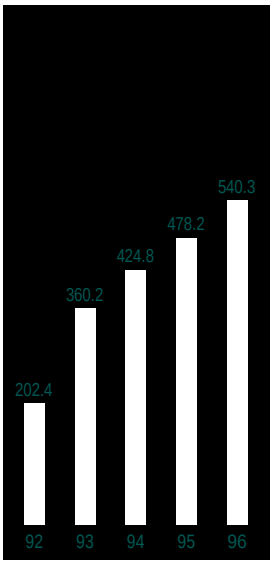
Corporate Foods Limited ("Corporate Foods" or the "Company") is a leading Canadian manufacturer of value-added flour-based products with sales and distribution in Canada and the United States. The Company's products include fresh bread, rolls and bagels; frozen bagels and dough products; crusty bread products; and specialty pasta and sauces. Corporate Foods maintains a national presence in the marketplace with brand names such as *Dempster's*™, *Olivieri*™, and *Tenderflake*™. Corporate Foods Limited is 69% owned by Maple Leaf Foods Inc.

About our Cover:

Corporate Foods Limited is committed to delivering quality brand name products to our customers. Our cover illustrates the nation-wide launch during 1996 of Dempster's™ *as our national brand for fresh bread and rolls.*

A Member of Maple Leaf Foods Inc. Family of Companies

CORPORATE FOODS LIMITED

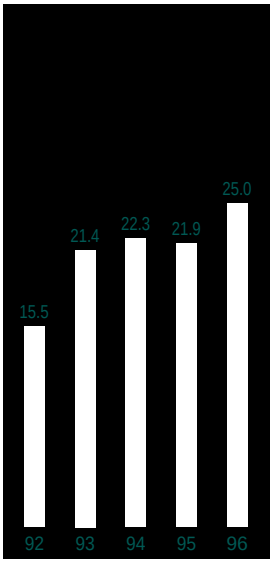


Successful Strategies ... Successful Performance!

Core Business – Corporate Foods increased its market presence and capacity *by purchasing the net assets of three companies. These companies included* Venice Bakery Ltd. *of Vancouver, British Columbia;* Bella Pasta Inc. *of Stoney Creek, Ontario; and* West Coast Bakery Limited *of Cornerbrook, Newfoundland.*

Brand Awareness – National brand recognition became a key focus for the Company during 1996. *Corporate Foods initiated national marketing and advertising campaigns that promoted the Company's major brands,* Dempster's, Olivieri, *and* Tenderflake.

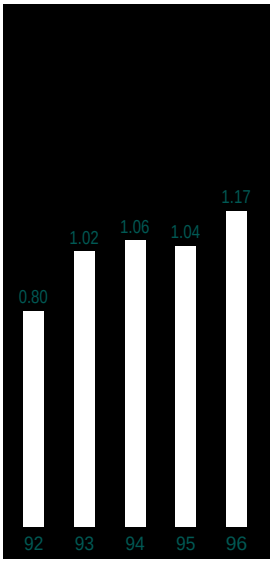




FINANCIAL HIGHLIGHTS 1996

(in thousands of dollars except per share amount)

	1996	1995
Operating results		
Sales	$540,251	$478,201
Net earnings	25,006	21,905
Net earnings per share	$1.17	$1.04
Cash flow		
Cash provided from operations	$46,878	$25,247
Net additions to fixed assets	22,791	19,352
Acquisitions	23,933	11,834
Financial position		
Total assets	$349,073	$303,785
Shareholders' equity	205,172	185,245
Net borrowings	48,950	45,183
Shareholders' equity per share	$9.62	$8.68



STRATEGIC OBJECTIVES FOR SHAREHOLDER VALUE

Corporate Foods Limited renewed its commitment to deliver enhanced shareholder value by refining and expanding its core strategic objectives to encompass the broader seven point plan as outlined by our majority shareholder, Maple Leaf Foods Inc.

Management and financial resources are focused on core assets, businesses and competencies; non-core businesses will be divested for maximum shareholder value.

A high priority is placed on capital investment in projects which have measurable and high returns, to ensure that the Company's operations are in the forefront of new food technology and product development, and are able to compete on the basis of lowest-cost production.

Emphasis is placed on developing a limited number of strong brands.

Resources are committed to aggressively develop new, profitable value-added products.

Each operation in the Company operates within a framework of shared centralized core services, a standard financial reporting format and a streamlined functional organizational approach enabling the Company to benefit from its purchasing power and minimizing duplication of administrative and specialized services.

Global sales opportunities will be aggressively pursued.

The efficiency of the Company's entire asset base is constantly monitored to ensure each asset is generating returns consistent with overall return objectives.



REPORT TO SHAREHOLDERS

In 1996, we successfully focused on strategic growth opportunities – acquisitions, national brands and value-added product development – all with the objective of achieving a 15% RONA by the year 2000.

It is our pleasure to report to you that in 1996 Corporate Foods has again enjoyed successful growth and performance, while establishing new records in dollar sales, volumes of product sold, earnings from operations and net earnings. We also embarked upon strong new initiatives and directions to ensure the continued future growth of the Company.

For the 52 weeks ended December 28, 1996, net earnings were $25.0 million ($1.17 per share) as compared to $21.9 million ($1.04 per share) for 1995. This 14.2% increase in bottom line results is reflective of the solid business and financial performance throughout the Company. Earnings from operations in 1996 increased 13.8% to $37.2 million from $32.7 million in 1995, reflecting higher sales volumes with increased sales of higher margin value-added products and effective cost control management in all aspects of our operations. We are committed to an ongoing program of increased efficiency and overhead cost reduction.

Total sales in 1996 were $540 million – up 13.0% from $478 million in 1995. This increase reflects continued solid performance in our fresh and frozen bakeries. The return on net assets (RONA) increased to 10.8% in 1996 from 10.4% in 1995, even with an aggressive capital spending program to grow the business in 1996.

Over the past four years, from 1993 to 1996, total sales for Corporate Foods have increased 50% from $360 million to $540 million, while earnings from operations have grown from $24.7 million to $37.2 million, or 50.6%.

Our fresh bakeries constitute the majority of our business and we continue to improve the performance of this sector, which enjoyed a successful year. At the same time, our frozen product bakeries experienced strong growth in 1996, reflecting continued growth opportunities in the retail and food service markets.

To further capitalize on our strength in the marketplace we combined the operations of Eastern Bakeries Limited and our Dempster's Division in early 1996. We also set in motion a plan to use the Dempster's brand name as our

Dr. David H. Lees, President and Chief Executive Officer and Archibald D. McLean, Chairman of the Board

national brand for our high end fresh bread and rolls across Canada. To support this national brand we will be utilizing television advertising throughout 1997. We believe we will gain significant growth from this brand synergy.

Also, in early 1997, a functional management structure has been implemented for our combined fresh and frozen bakery businesses. The senior executives who previously managed the individual business units have been re-assigned as the senior executives responsible for the functional areas of retail and food service sales, marketing and business development, operations, finance, technical and human resources. We are fortunate to have this group of experienced executives to lead us in this important transition of our business. We can now operate as a true national bakery with focused, synergistic management coast to coast. In doing this we provide our customers, who are increasingly national in scope, with the ability of dealing with one organization for all of their fresh and frozen bakery products.

During the year we made two acquisitions to enhance our fresh bakery business – Venice Bakery of Vancouver, British Columbia and West Coast Bakery of Cornerbrook, Newfoundland. Venice is a specialty manufacturer of hearth bread and enhances our product range in the Western Canadian market, while West Coast Bakery expanded our fresh bread business in Newfoundland.

We significantly increased our bagel manufacturing capacity in 1996 and continue to expect to have strong growth in this sector of the market and to maintain our leadership position.

Our fresh pasta and sauce business under the Olivieri brand has also been taken national with the acquisition of the Bella Pasta business in Stoney Creek, Ontario in May of 1996. We have expanded this facility to manufacture fresh pasta and sauces for the Eastern Canadian market, and our entry into Ontario, Québec and the Maritimes has been very successful, supported with a television advertising campaign.

Tenderflake, our national brand for frozen dough products, experienced strong growth in 1996, again supported by a national television advertising program, and we will be developing this branded product line further in the coming year. New products are one of the key components of our successful growth and we are continuing to put increased emphasis on this activity. In 1996, our expertise in new product development was appropriately recognized when Dempster's Fruit Breads won the Canadian Grand

CORE BUSINESS FOCUS

Venice Bakery Ltd.

The acquisition of Venice Bakery Ltd. *provides us with increased capacity for hearth breads in Western Canada and has enhanced our presence in the food service market.*

Prix award for new bakery products and the Gold Medal for bakery products at the S.I.A.L. International Trade Show in Paris, France.

In early 1997, we launched Dempster's Hot & Crusty frozen specialty bread and rolls into the retail markets in Ontario and Québec. These products are unique in their high quality and convenience for the consumer (ten minutes from freezer to hot fresh bread at home) and expand the Dempster's brand in the marketplace.

In 1996 we made the decision to focus Corporate Foods Limited on the Canadian market in terms of manufacturing operations and direct sale of our product.

Our excellent relationship, initiated in 1995, with Maple Leaf Bakery Inc. in the United States, gives the Company significantly enhanced opportunities for the sale of our products in that market. As a result of the focus on Canada, we sold Brooklyn Bagel Boys, Inc., our Chicago based bagel manufacturer, to Maple Leaf Foods Inc. in early 1997. The proceeds from this divestiture will be re-invested in new ventures in Canada, generating improved financial returns. With this divestiture Corporate Foods will still have full access to the United States' marketplace for all of our products manufactured in our Canadian facilities.

As part of our strategy to grow in Canada, we are building a new fresh and frozen bakery in Calgary, Alberta to be operational in the summer of 1997. This facility will manufacture products for the Western Canadian, U.S.A. and export markets and is a clear indication of our commitment to grow our business.

VALUE ADDED PRODUCT INNOVATION

Dempster's Hot & Crusty

We have combined the Dempster's brand name with our crusty bread technology. *The home consumer can now enjoy the taste and aroma of fresh baked bread in ten minutes with our new Dempster's Hot & Crusty products.*

Our success in 1996 would not have been possible without the strong and continuous support of every member of the Corporate Foods' family of people. Likewise, our Board of Directors have also been very supportive of our plans to grow the Company and have provided wise counsel throughout the year in support of the Company. We thank our employees and our Board of Directors collectively and individually.

We are very proud of the performance of Corporate Foods Limited in 1996 and believe that you, our shareholders, should share in this pride. Our commitment to our shareholders is to continue to seek out opportunities to ensure the continued prosperous and successful growth of the Company through the vigorous application of our seven point plan. It is our belief that 1997 offers excellent potential for growth and it is our intention to realize that growth.



David H. Lees

President and Chief Executive Officer



Archibald D. McLean

Chairman of the Board

CORPORATE FOODS LIMITED

Our commitment to Quality in all our operations

Quality is doing the right things. Consistently right. Quality means accurate orders, quality baking, and fast, complete distribution to our customers, while maintaining competitive superiority. Quality requires maintaining excellent relationships with our customers and our consumers and continually meeting their expectations. Quality is a team effort.

We deliver quality by utilizing state of the art technology, developing innovative products and creating efficient delivery systems. We are leaders in producing value-added flour products. We are committed to capital renewal programs and advanced business systems. Our goal is to maintain a well-trained, motivated workforce.

It is these tools that make us a leader in delivering quality. It is this commitment to quality that will build the business and guarantee our future in a competitive marketplace.



OPERATIONS AND FINANCIAL REVIEW

Corporate Foods Limited renewed its commitment to deliver shareholder value by refining and expanding its key strategic objectives to encompass the seven point business plan. The following pages highlight key operational and financial activities during 1996.

Corporate Foods continued in its tradition of recording strong company growth and providing enhanced value for our shareholders. Governed by the principles of the seven point plan, we embarked upon a number of operational initiatives that culminated in a year of unprecedented financial results. We completed three strategic business acquisitions which enhanced our presence in the national marketplace. We supported product innovations and introduced new products to our line of *Dempster's* award winning fruit breads. We focused our energies on brand recognition and targeted our marketing campaigns on our key brand names, *Dempster's*, *Olivieri*, and *Tenderflake*. We took steps to streamline our management and administrative functions. We are committed to being Canada's national bakery.

Our financial results reflect our success. Sales for the year ended December 28, 1996 increased 13% to $540 million from $478 million in 1995. Earnings from operations increased 13.8% to $37.2 million as compared with $32.7 million in the prior year. Earnings per share increased to $1.17 per share from $1.04 per share for the prior year. Finally, the key barometer of the Company's financial success, Return on Net Assets (RONA), increased to 10.8% in 1996 from 10.4% in 1995.

CORE BUSINESS FOCUS

Focus on Canada – We are committed to investing in Canada. *With acquisitions in British Columbia, Ontario and Newfoundland, our position as Canada's only national bakery and leading fresh pasta and sauce maker was enhanced. We have also commenced construction of a state of the art production facility in Calgary, Alberta.*



The core business of Corporate Foods has always been to provide value-added, flour-based products. In 1997 we have developed a renewed and refined focus on Canada. During 1996, Corporate Foods increased its Canadian presence and capacity by purchasing the net assets of two Canadian bakeries and one specialty pasta company. The largest acquisitions, Venice Bakery Ltd. of Vancouver, British Columbia, and Bella Pasta Inc. of Stoney Creek, Ontario, were completed during the second quarter. West Coast Bakery Limited, a small bakery in Newfoundland, was acquired in November.

With the renewed commitment to Canada, management no longer viewed the operations of Brooklyn Bagel Boys, Inc., a U.S. subsidiary, consistent with the future direction of our basic core business. Consequently, on January 2, 1997, Corporate Foods sold all the issued and outstanding shares of Brooklyn Bagel Boys, Inc. to Maple Leaf Foods Inc. for proceeds of USD$20.4 million. Consolidated net earnings are not expected to be impacted by this transaction. (*See Note #11 to the Consolidated Financial Statements*.) Management will continue to pursue Canadian acquisition opportunities during 1997 that complement the Company's core business and represent opportunities to enhance the Company's RONA. It is important to note that although the Company no longer has manufacturing operations in the U.S., our products are being sold in that market through a business relationship with Maple Leaf Foods USA Inc. (*See Related Party Transactions*).

Venice Bakery Ltd.

Venice Bakery Ltd. is a leading manufacturer and distributor of hearth and French bread and rolls, particularly in the food service sector. Its operations complement the Company's strengths in pan bread and roll products, while expanding our presence in local markets.

Bella Pasta

Bella Pasta Inc. augmented our existing Olivieri brand products with additional fresh pasta and frozen entree products. These product lines represent an exciting growth category for the Company.

Quality Bakeries for Quality Products

With Venice Bakery, we can ensure our customers in Western Canada will be provided with a complete bread and roll program emphasizing variety and quality, new product innovation, and service excellence.

Increasing Olivieri Presence in Ontario

The Bella Pasta operations provided us with a manufacturing facility and a presence in Ontario for our pasta and sauce business, particularly in the food service market. We made a further investment in the production capacity thus enhancing our market position for our Olivieri brands.

CAPITAL INVESTMENT

Crusty Bread Technology – *Utilizing technology exclusive to Corporate Foods in Canada, we provide premium, crusty French style bread and rolls to in-store bakeries and food service markets. This same product has been developed and marketed for the home consumer and will be launched in 1997.*



Capital expenditure programs during the year concentrated on increased production capacity and efficiency improvements. The key projects completed in 1996 included the installation of new lines for bagel and crusty bread production; conversion of *Dempster's* Gourmet Rolls to the high speed line installed in 1995; and the installation of hand-held computers at Venice Bakery.

Crusty Breads

The versatility and quality of our crusty bread and roll products is an advantage in all key markets. In-store bakeries can produce "baked fresh" bread on a daily basis; food service customers are minutes away from hot and crusty rolls; and beginning in 1997, Canadian consumers will be able to bake and enjoy *Dempster's* Hot & Crusty™ bread products in their own homes.

New Facility for 1997

Investing in Canada will be the focus in 1997. Corporate Foods has announced the construction of a $25 million fresh and frozen bakery in Calgary, Alberta, which will service the Canadian, United States' and export markets. The facility will incorporate the latest manufacturing technology, some of it exclusive to Corporate Foods, for the manufacture of fresh and frozen bread, doughs, bagels and other products. This facility is part of our commitment to a growth strategy while better servicing our customers with top quality, leading edge products. The Calgary plant will enable the Company to expand our market presence in Western Canada.

Information Technology

We have stated our commitment to investing in advanced information technologies. To that end, significant investment is planned over the next two years to improve the financial and operational systems used by the Company. The purpose of the investment is the standardization of our business systems and hand-held computer technology across the organization. The end result will be increased productivity and timely reporting for optimal decision making by management.

BAGEL PRODUCT

NEW INVESTMENT



BRAND MANAGEMENT

Dempster's ... From Coast to Coast! – The Dempster's name was introduced to consumers in Eastern and Western Canada in 1996. *The Dempster's name was prominent on all of our top quality bread and rolls and our family of Fruit Breads. Commencing in 1997, a new member of the Dempster's brand, Hot & Crusty, will be introduced.*



Brand recognition was a key focus for the Company during 1996. We initiated national marketing and advertising campaigns that promoted the Company's major brands, *Dempster's*, *Olivieri* and *Tenderflake*. We anticipate that these initiatives will improve the Company's total market share in 1997. The Company will support its national brands with television advertising throughout the 52 weeks of 1997. This is the first time such extensive marketing has been implemented.

Dempster's

The award winning line of *Dempster's* Fruit Breads was launched on a national basis and received overwhelming approval from customers on the east and west coasts. Using the same formulae and procedures that were used in Ontario, Apple Cinnamon, Orange Cranberry, Blueberry and Lemon Poppyseed breads were manufactured and distributed through the regional facilities.

During the latter part of 1996, we developed integrated packaging that combined the two regional brands, *Homestead*™ and *Karnes*™ with the *Dempster's* brand name.

Another 1997 initiative will see the *Dempster's* name on a new frozen retail product, *Dempster's* Hot & Crusty Bread. This product utilizes the Company's state of the art technology to produce a product that the consumer will purchase frozen and transform into fresh hot bread with only ten minutes of oven heating.

Olivieri

In the latter part of 1996, *Olivieri* launched its first national television campaign. By the end of 1996, the *Olivieri* brand had been extended to represent a broader range of products. The new products included a line of high quality, frozen pasta entrees and specialty Italian bakery products. Many of the new products will be launched nationally in 1997.

Tenderflake

The Tenderflake operations became a key component of our frozen bakery product line during 1996. Buoyed by a strong advertising campaign, the market presence of this key brand became truly national.

DEMPSTER'S
HOT & CRUSTY

FRUIT BREADS

PRODUCT INNOVATION

Award Winning Fruit Breads – Riding on the heels of receiving the Canadian Grand Prix *New Bakery Products Award for our innovative Dempster's Fruit Breads, in October of 1996, Corporate Foods went on to accept the prestigious international Gold Medal at the S.I.A.L. Foods Show in Paris, France. These breads have been extremely successful and well received in both Canada and the United States.*



"Even if you are on the right track you'll get run over if you just sit there." (Will Rogers)

Our future growth is dependent upon many factors but one of the most important is product innovation. The Company is committed to the development of innovative, value-added products, as well as to developing new processes to improve on existing products. To that end, technical, sales and marketing staff are involved in the continuous exchange of information and ideas.

Fresh and Frozen Bakeries

Dempster's Fruit Breads continued to gain widespread popularity during 1996. The line was further expanded in June to include the delicious new products, Lemon Poppy Seed and Blueberry breads. The product line was supported by a successful television and print advertising campaign that coined the phrase, "Bread with a peel". Fruit Breads are available nationally in Canada and are currently being exported to major retail chains in the United States through the Company's relationship with Maple Leaf Foods USA.

Products manufactured using new technology continue to lead in their respective markets. Corporate Foods will be providing the home consumer with these value-added, innovative products, under the *Dempster's* Hot & Crusty brand name in 1997.

The fresh bakery product line has been enhanced with quality products marketed as *Olivieri* focaccia and flat breads. With continued innovation and development, value-added products will become synonymous with the *Olivieri* brand name.

Pasta Innovations

The *Olivieri* pasta and frozen entree product line was expanded during the year with the development and launch of premium, frozen entrees in Western Canada. The products are the first Dinner-For-Two frozen entrees to be introduced to the Canadian market.

DEMPSTER'S HOT & CRUSTY



STREAMLINED OPERATIONS

Efficiency Gained! – A program to functionally reorganize Corporate Foods *has been put into place and will be implemented throughout 1997.*



To support this reorganization, we will be making significant investment in 1997 in state of the art technology and create a fully integrated operational and financial computer system.

Several initiatives were implemented by the Company during the year to improve operational efficiency within the organization. The operations of Eastern Bakeries Limited and Dempster's Division were merged, resulting in better coordination of sales, marketing, operational and financial processes. The incremental, one time costs associated with this project were expensed during the year. The Company also successfully integrated Circlet Foods Inc. with the Dough Delight Ltd. operations during the year. The costs associated with the amalgamation were provided for as part of the acquisition costs in 1995.

Route restructuring programs initiated in 1995 were ongoing during 1996. Several routes in Western Canada were converted from company-owned to independent distributors during the year. Route restructuring will be ongoing. We believe that franchised route distribution will lower fixed distribution costs. Distribution routes were combined as a result of the acquisitions of Venice Bakery Ltd. and West Coast Bakery Limited. The costs incurred for these projects were provided for as part of the acquisitions costs.

Centralization

Early in 1997 Corporate Foods began implementing a new functional management structure. We conducted an extensive review of our operations and concluded that our activities could be better coordinated within functional parameters. The reorganization was initially accomplished by redeploying the senior management group into newly created functional roles. The remaining organizational changes will be implemented throughout 1997. The costs associated with the reorganization will be incurred in 1997.

Advanced Technology

We are committed to advanced technology and have continued to invest in state of the art systems for our operations. Our new technology will introduce commonality within our business and provide advanced sales, distribution and financial reporting to our management team.

GLOBAL EXPANSION

Maple Leaf Foods USA Inc. The infrastructure of Maple Leaf Foods USA *will continue to strengthen and mature and penetrate those markets that were previously not easily accessible to Corporate Foods. Our relationship will provide us with increased sales of our Canadian manufactured products in the United States' market.*

Maple Leaf Foods USA Inc. manages the Company's U.S. operations and the sales and marketing of our products in the U.S. pursuant to an agreement signed in 1995. Under the terms of this agreement, we benefit from a local focus on the growth of our product sales in the U.S., while at the same time, sharing in the synergy associated with coordinating these efforts with Maple Leaf Foods USA. We are continuing to pursue international opportunities for our products through our relationship with Maple Leaf Foods Inc. (*See Related Party Transactions*).



EFFECTIVE ASSET MANAGEMENT

Productive Asset Base – The Company's entire asset base is constantly monitored *to ensure each asset is generating returns consistent with an overall RONA objective of 15% by the year 2000.*

A productive asset base is the cornerstone of our commitment to providing enhanced shareholder value and continuous business growth. Every asset in which we invest must have the capacity to generate a RONA of 15%. RONA is calculated by dividing earnings before interest and after tax by the average net assets employed in the business; net assets comprise total assets excluding cash, less non-interest bearing current liabilities.

Every strategy we pursue is geared to achieving the overall target of 15%. We concentrate only on business acquisitions and capital investments that will exceed the required returns. We recognize the value in our brand names and the ability these brands have to generate sales and increased market share. We are focusing our attention on lowering our administrative costs through corporate reorganizations and improved information systems thus maximizing our earnings. We have an eye on the world and anticipate taking full advantage of the relationships we have developed with Maple Leaf Foods Inc. By the year 2000, we intend to achieve our overall RONA target of 15%.

FINANCIAL RESULTS

Results of Operations

Sales Year over year sales growth is attributed to many factors, including businesses acquired by the Company during 1996, the full year impact of the 1995 *Tenderflake*™ brand purchase; new product innovations; and increased capacity at key manufacturing facilities. These factors had a positive impact on the level of sales volumes and sales dollars.

Earnings from Operations The Company continued to be challenged during 1996 with record high wheat costs. The key factors that impacted 1995 prices, such as reduced wheat production and increased Canadian exports, carried over into 1996. The Company manages volatility in wheat prices through the use of forward purchase contracts and product pricing.

Interest Net interest expense declined 14% to $3.0 million in 1996 from $3.5 million in 1995. The average interest rate declined during 1996 buoyed by favourable economic conditions and effective risk management policies. The Company's average level of bank debt increased marginally, relative to 1995, to finance capital expenditures and business acquisitions. The majority of cash requirements was financed from operating cash.

Income Taxes The combined 1996 income tax rate is 40.2% as compared to 39.9% in 1995. The difference is attributable to an increase in the statutory rate to 44.5% in 1996 from 44.3% in 1995.

Equity Earnings Equity earnings reflect Corporate Foods' share of the net income in Multi-Marques, less amortization of the underlying goodwill. The earnings from this investment for the year of $4.6 million were comparable to earnings recorded in 1995. Multi-Marques' earnings reflect the impact of high flour costs and increased competitive pressures in the marketplace.

Financial Condition

Liquidity and Capital Resources The increase in cash provided from operations is directly related to increased earnings for 1996 and changes in non-cash working capital balances. The improvement in working capital balances reflect the impact of the acquisitions made during the year. Business acquisitions and capital expenditures were financed out of operating cash during the year.

The Company and its subsidiaries have aggregate lines of credit of $88.0 million at year end with major Canadian banks. Of this amount, $40 million is a revolving term loan and was fully drawn as at year end. The remaining amounts are operating loan facilities. During 1995, the Company repaid $32 million owing to Maple Leaf Foods under an evergreen facility.

Management remains confident that the current lines of credit will provide the Company with sufficient resources to finance future business acquisitions and significant capital expenditure programs. On January 2, 1997, the Company reduced the amount of debt outstanding from $40 million to $15 million with the proceeds generated on the sale of Brooklyn Bagel Boys, Inc.

There was no change to the outstanding common shares during the year.

Dividends Annual dividend payments to shareholders, based upon the current quarterly payment of $0.06 per common share, total $5.1 million during 1996 (1995: $5.0 million). The rate remained unchanged from 1995 and represents 21% of net earnings (1995: 23%).

Risk Management

The Company has financial risk exposure to varying degrees relating to interest rates, foreign exchange and commodity pricing. Information on the Company's derivative products is set out in Note 4 to the Consolidated Financial Statements.

Environment

Environmental responsibilities are considered a high priority by Corporate Foods. The Company has adopted an environmental stewardship program under which specific senior executives take responsibility for all environmental matters within the Company. These executives work together to ensure that Corporate Foods is in compliance, in all material respects, with existing environmental regulations. Reports regarding all environmental issues or matters which have arisen are regularly provided to the Board of Directors for discussion and evaluation. Expenditures relating to current environmental standards are not expected to have a material impact on the financial position or earnings of the Company.

Related Party Transactions

The Company entered into a number of agreements during 1995 with Maple Leaf Foods Inc. whereby Maple Leaf Foods and its subsidiary, Maple Leaf Foods USA Inc. (*see "Global Expansion"*), provide certain management and other services to Corporate Foods. The agreements were reviewed and approved by the outside members of the Board of Directors. Corporate Foods continues to derive benefit from these agreements. (*See Note 8 to the Consolidated Financial Statements*).

MANAGEMENT'S STATEMENT OF RESPONSIBILITY



The accompanying consolidated financial statements of Corporate Foods Limited and all related information on the annual report are the responsibility of management and have been approved by the Board of Directors. The consolidated financial statements have been prepared by management in accordance with generally accepted accounting principles. Financial statements are not precise since they include certain amounts based on estimates and judgments. Management has determined such amounts on a reasonableness basis in order to ensure that the consolidated financial statements are presented fairly, in all material respects. Management has prepared the financial information presented elsewhere in the annual report and has ensured that it is consistent with that in the consolidated financial statements.

The Company maintains systems of internal controls which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The independent audit firm of KPMG, Chartered Accountants, have audited and reported on the Company's consolidated financial statements. Their opinion is based upon audits conducted by them in accordance with generally accepted auditing standards to obtain reasonable assurance that the consolidated financial statements are free of material misstatement.

The Board of Directors is responsible for ensuring that management fulfills its responsibilities for financial reporting and is ultimately responsible for reviewing and approving the financial statements. The Board carries out this responsibility principally through its Audit Committee.

The Audit Committee is appointed by the Board and all of its members are outside directors. The Committee meets periodically with the independent external auditors and management representatives to discuss internal controls over the financial reporting process, auditing matters and financial reporting issues to satisfy itself that each party is properly discharging its responsibilities and to review the annual report, the consolidated financial statements and the external auditors' report. The independent, external auditors have unrestricted access to the Committee. The Committee reports its findings and makes recommendations to the Board. The Committee also considers, for review by the Board and approval by the shareholders, the engagement or reappointment of the external auditors.



D.H. Lees
President and
Chief Executive Officer



L. J. Palko
Senior Vice-President, Finance and
Corporate Secretary

AUDITORS' REPORT



To the Shareholders of Corporate Foods Limited

We have audited the consolidated balance sheets of *Corporate Foods Limited* as at December 28, 1996 and December 30, 1995 and the consolidated statements of earnings, retained earnings and changes in financial position for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 28, 1996 and December 30, 1995 and the results of its operations and the changes in its financial position for the years then ended in accordance with generally accepted accounting principles.

Toronto, Canada,
February 27, 1997.

KPMG
Chartered Accountants

CONSOLIDATED BALANCE SHEETS

(Thousands of dollars)



As at	December 28, 1996	December 30, 1995
Assets		
Current		
Cash	$ 824	$ 679
Accounts receivable	48,205	39,248
Due from related company (note 8)	3,920	—
Inventories	15,625	12,619
Prepaid expenses	3,030	2,872
	71,604	55,418
Investment in associated company	42,468	39,868
Fixed assets (note 2)	145,059	126,785
Goodwill	89,942	81,714
	$349,073	$303,785
Liabilities		
Current		
Bank indebtedness (note 3)	$ 5,615	$ 2,244
Accounts payable and accrued charges	68,259	50,774
Due to related company (note 8)	—	2,411
Dividends payable	1,280	1,280
Income taxes payable (recoverable)	1,434	(947)
Current portion of long-term debt (note 3)	181	—
	76,769	55,762
Long-term debt (note 3)	40,447	40,000
Loan from Parent Company (note 3 and 11)	3,531	3,618
Deferred income taxes	22,997	19,004
Minority interest	157	156
Shareholders' Equity		
Share capital (note 5)	35,631	35,631
Retained earnings	169,827	149,949
Unrealized foreign currency adjustment	(286)	(335)
	205,172	185,245
	$349,073	$303,785

See accompanying notes to consolidated financial statements

On behalf of the Board:



Director



Director

CONSOLIDATED STATEMENT OF EARNINGS

(Thousands of dollars, except earnings per share)



Years ended	December 28, 1996	December 30, 1995
Sales	$540,251	$478,201
Cost of sales, selling, distribution and administration	503,057	445,549
Earnings from operations	37,194	32,652
Interest expense (note 3)	3,033	3,497
Earnings before income taxes	34,161	29,155
Income taxes (note 6)	13,724	11,628
Earnings before the following:	20,437	17,527
Equity earnings from an associated company	4,600	4,550
Minority interest	(31)	(172)
Net earnings for the year	$ 25,006	$ 21,905
Earnings per common share (note 5)	$1.17	$1.04

See accompanying notes to consolidated financial statements

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

(Thousands of dollars)

Years ended	December 28, 1996	December 30, 1995
Retained earnings, beginning of year	$149,949	$133,108
Net earnings for the year	25,006	21,905
Dividends declared	5,128	5,064
Retained earnings, end of year	$169,827	$149,949

See accompanying notes to consolidated financial statements

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

(Thousands of dollars)



Years ended	December 28, 1996	December 30, 1995
Operating Activities		
Net earnings for the year	$25,006	$21,905
Add (deduct) items not affecting cash:		
Depreciation	14,463	12,549
Amortization	2,403	2,138
Equity earnings from an associated company	(4,600)	(4,550)
Deferred income taxes	3,990	3,712
Minority interest	31	172
Changes in non-cash working capital	5,585	(10,679)
Cash provided from operating activities	46,878	25,247
Financing Activities		
Issue of share capital (note 5)	—	5,384
Increase in (repayment) of debt (note 3)	(124)	40,000
Increase in (repayment) of debt to Parent Company (note 3)	(98)	(32,308)
Dividends	(5,128)	(5,044)
Dividends paid to minority interest	(30)	(187)
Cash provided from (used in) financing activities	(5,380)	7,845
Investing Activities		
Additions to fixed assets	(22,791)	(19,352)
Deferred acquisition costs (note 7)	(662)	(778)
Acquisitions of net assets of business (note 7)	(23,271)	(11,056)
Dividends received from an associated company	2,000	2,500
Cash used in investing activities	(44,724)	(28,686)
Net increase (decrease) in cash during the year	(3,226)	4,406
Bank indebtedness, net of cash, beginning of year	(1,565)	(5,971)
Bank indebtedness, net of cash, end of year	$(4,791)	$(1,565)

See accompanying notes to consolidated financial statements

December 28, 1996 and December 30, 1995 (tabular amounts in thousands of dollars)



Corporate Foods Limited ("Corporate Foods" or the "Company") and all of its subsidiaries operate in a single industry consisting of the manufacture and sale of flour-based products, primarily bakery products. The fiscal year of the Company ends on the last Saturday of December. The fiscal years ended December 28, 1996 and December 30, 1995 are each comprised of 52 weeks. Corporate Foods is 69% owned by Maple Leaf Foods Inc. ("Maple Leaf" or the "Parent Company").

1. Significant Accounting Policies

Basis of presentation of consolidated financial statements

The accompanying consolidated financial statements are prepared in accordance with accounting principles generally accepted in Canada and include the accounts of Corporate Foods and its subsidiaries.

Inventories

Inventories, consisting primarily of ingredients and supplies, are valued at the lower of cost and replacement cost, as determined using the first-in, first-out method.

Fixed assets

Fixed assets are recorded at cost including, for major projects, incremental plant costs and interest capitalized during the installation process. Depreciation is recorded once the asset is in use and is calculated using the straight-line basis at rates designed to amortize the cost over their estimated useful lives as follows:

Buildings	$2\frac{1}{2}\%$ – 5%
Machinery and equipment	$7\frac{1}{2}\%$ – $33\frac{1}{3}\%$
Leasehold improvements	over the term of the lease

Investments

The Company owns a 25% interest in Multi-Marques Inc. of Québec which is accounted for using the equity method. The Company owns an 80% interest in CFL/MLF Financing Company, L.L.C. (a partnership) with Maple Leaf which is accounted for using the proportionate consolidation method.

Goodwill

The excess of the purchase price over the estimated fair value of identifiable net assets acquired represents goodwill. Goodwill is amortized substantially over forty years on a straight-line basis. The Company annually reviews the carrying value of goodwill to determine if an impairment has occurred. The Company measures the potential impairment of goodwill by comparing the undiscounted value of expected future operating income before income taxes, interest and amortization of goodwill to the carrying value of goodwill. Any permanent impairment in the value of goodwill is written off against earnings.

Translation of foreign currencies

The accounts of foreign subsidiaries are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average rate for the year for revenues and expenses. Exchange gains or losses on translation are deferred and included as a separate component in shareholders' equity until realized.

Other monetary assets and liabilities denominated in foreign currencies are translated at year-end exchange rates; exchange gains and losses are recognized in current earnings.

Pension costs and obligations

The Company uses an accrued benefit actuarial method and best estimate assumptions to value pension obligations. Adjustments arising from past service benefits and experience gains and losses are amortized on a straight-line basis over the expected average remaining service lives of the employee groups. Current service costs are expensed in the year. Market related asset values are determined on a five-year moving average basis.

December 28, 1996 and December 30, 1995 (tabular amounts in thousands of dollars)



Financial instruments

The Company, in the normal course of business, enters into forward purchase contracts for the purpose of hedging certain raw material purchase commitments. The Company is also party to certain interest rate swap contracts (used to manage the exposure to interest rate cash flow risks) and forward foreign exchange contracts (used to manage foreign currency exposures on export sales). Inventory purchases are recorded at the contracted price. Payments and receipts under interest rate swap contracts are recognized as adjustments to interest expense on long-term debt. Gains and losses on forward foreign exchange contracts are recognized in the same period as the foreign currency revenues or outflows to which they relate.

Comparative figures

Certain comparative figures have been reclassified to conform with the financial statement presentation adopted in the current year.

2. Fixed Assets

	1996	1995
Cost		
Land	$ 9,796	$ 9,786
Buildings	41,388	37,939
Machinery and equipment	163,898	139,522
Construction in progress	6,058	3,467
	221,140	190,714
Accumulated depreciation		
Buildings	11,707	7,500
Machinery and equipment	64,374	56,429
	76,081	63,929
Net book value	$145,059	$126,785

Cost and accumulated depreciation of machinery and equipment under capital lease was $652,000 and $35,000, respectively.

3. Financing

The Company has available unsecured demand operating facilities of $48 million that bear interest at short-term market rates. Interest on short-term debt expensed during the year is $347,000 [1995 – $1,312,000].

The unsecured loan from the Parent Company outstanding at December 28, 1996 bears interest at floating market rates. Interest paid at the floating market rates in 1996 was $232,000 [1995- $1,718,000]. On January 2, 1997 the loan was repaid (note 11).

Long term debt

	1996	1995
Revolving term facility	$40,000	$40,000
Obligations under capital leases and other long term debt	628	—
	40,628	40,000
Less current portion	181	—
	$40,447	$40,000

In 1995 the Company entered into financing arrangements with two Canadian chartered banks that permit the Company to borrow up to $40 million on a 364-day committed basis through September 20, 1999. These facilities bear interest at short term market rates of interest, which including the interest rate swap averaged 6.14% [1995 – 6.46%]. The revolving period and term of expiry of the unsecured floating rate term loans may be extended annually.

Interest on long-term debt expensed during the year is $2,454,000 [1995 – $467,000].

December 28, 1996 and December 30, 1995 (tabular amounts in thousands of dollars)



4. Financial Instruments

Foreign currency risk management

The Company uses derivative financial instruments, primarily forward exchange currency contracts, to manage its currency exposures on export sales and expenditures denominated in foreign currencies.

At December 28, 1996 the Company had outstanding commitments to sell forward US$44,837,000 (1995 – $25,470,000) which cover periods maturing within 1 year. The market value of outstanding forward foreign exchange contracts at December 28, 1996 would result in an unrealized loss of $899,403 (1995 – gain of $507,885). The market values are estimated based on closing market prices.

Interest rate risk management

The Company uses interest rate derivative financial instruments to manage its exposure to interest rate fluctuations. The aggregate notional principal amount under the swap contracts is $15 million (1995 – $15 million). The fixed rate under these contracts in 1996 and 1995 range from 6.29% to 6.48%, with maturities of one year, subject to an extension for an additional term at the counterparty's option on notional principle of $10 million.

At December 28, 1996, the market value of the above interest rate contracts assuming termination of the contracts as at December 28, 1996, would result in a net payment of $245,757 (1995 – $307,868) due to reductions in market rates since these interest rate hedges were entered into. The market values are estimated by obtaining quotes from the Company's counterparties for the same or similar financial instruments.

5. Share Capital

	Unlimited Common Shares	
	Shares	Amount
Balance December 31, 1994	21,003,129	$30,247
1995 transactions:		
Issued for cash on exercise of options	38,000	384
Issued to Maple Leaf for acquisition	295,683	5,000
Balance December 28, 1996 and December 30, 1995	21,336,812	$35,631

The Board of Directors have approved the issue of stock options to certain members of the Company's management under the Incentive Stock Option Plan. Up to 940,000 shares may be issued under this plan. To date 637,000 options have been granted, of which 526,500 options have been exercised or cancelled. Options issued prior to 1994 may be exercised at any time and expire in 1997 and 1998. Options issued in 1994 vest equally over the next three years and may be exercised up to expiry in 2004. There are 110,500 options outstanding which may be exercised at a weighted average price of $17.04. Options to purchase 303,000 shares remain available to be granted in the future.

No significant dilution of earnings per common share would have resulted had all shares under the plan been issued.

December 28, 1996 and December 30, 1995 (tabular amounts in thousands of dollars)



6. Income Taxes

A reconciliation comparing income taxes (on earnings before income taxes excluding equity earnings from an associated company) calculated at the statutory rates to the amount provided in the accompanying consolidated financial statements is as follows:

	1996		1995	
Income taxes at combined statutory rates	$15,202	44.5%	$12,915	44.3%
Increase (decrease) in income taxes:				
Manufacturing and processing profits deduction	(2,235)	(6.5)	(1,789)	(6.1)
Goodwill amortization	862	2.5	796	2.7
Other	(105)	(0.3)	(294)	(1.0)
Total income taxes	$13,724	40.2%	$11,628	39.9%
Represented by:				
Current income taxes	$ 9,731		$ 7,923	
Deferred income taxes	3,993		3,705	
	$13,724		$11,628	

7. Acquisitions

During 1996, the Company completed the following transactions:

a) In April, the Company acquired the net assets of Bella Pasta Inc. of Stoney Creek, Ontario.

b) In May, the Company acquired the net assets of Venice Bakery Ltd. of Vancouver, British Columbia.

c) In October the Company acquired the net assets of West Coast Bakery Limited of Cornerbrook, Newfoundland.

d) Pursuant to the 1993 Brooklyn Bagel Boys, Inc. purchase agreement, a final deferred purchase payment of $662,000 was accrued in 1996 and included in goodwill (1995 – nil). The amount was paid in March 1997.

During August 1995, the Company acquired the remaining 40% interest of Circlet Foods Inc. of Concord, Ontario and the net assets and operations of the Tenderflake business from Maple Leaf Foods Inc.

The acquisitions are accounted for by the purchase method with the results of operations being consolidated with those of the Company from the dates of acquisition.

Details of the net assets acquired at assigned values are as follows:

	Acquired 1996	Acquired 1995
Net working capital	$ 4,181	$ (568)
Fixed assets	9,896	1,170
Goodwill	9,946	9,569
Minority interest and dividends	—	885
	24,023	11,056
Long term debt assumed	(752)	—
Total consideration	$23,271	$11,056

8. Related Party Transactions

a) A significant portion of the Company's sales to the U.S. and other export markets are through related companies during the normal course of operations and have been recorded at the exchange amount.

b) A significant portion of cost of sales represents flour purchases, a substantial portion of which are purchased from a related company during the normal course of operations and have been recorded at the exchange amount.

c) Purchases from and sales to an equity accounted affiliate in the normal course of operations totaled $39,000 [1995 – $146,000] and $221,000 [1995 – $198,000], respectively and have been recorded at the exchange amount.



d) Maple Leaf provides the Company with certain management services including access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $1,888,000 (1995 – $654,000) to Maple Leaf which approximates the cost of providing these services. The Company also entered into a Management Services Agreement with Maple Leaf Foods USA Inc. (Maple Leaf USA), whereby Maple Leaf USA administered and supervised the management of the Company's U.S. operations commencing January 1996. The cost of providing this service was included in the management and affiliation fee. Both agreements were approved by the independent members of the Board of Directors.

9. Pension Plans

The Company maintains defined benefit pension plans which provide eligible employees with pensions based on length of service and/or average earnings. Contributions by employees to these pension plans, together with those made by the Company, are deposited with trustees according to the terms of the pension plans.

The approximate present value of accrued pension benefits at December 28, 1996 was $51,780,000 [1995 – $48,176,000]. The net assets of these pension plans, at market related values, were approximately $52,187,000 [1995 – $46,369,000]. The pension expense during the year was $1,311,000 [1995 – $1,511,000].

10. Commitments and Contingencies

The Company leases property and equipment under agreements which are accounted for as operating leases. Future minimum annual rental payments under these leases are as follows:

1997	$ 8,471
1998	6,234
1999	4,903
2000	3,136
2001	2,078
Thereafter	4,258
	$29,080

11. Subsequent Event

On January 2, 1997, the Company sold Brooklyn Bagel Boys, Inc. and its 80% partnership interest in CFL/MLF Financing Company, L.L.C. to Maple Leaf. Total proceeds of $USD $20.4 million (approximately $27 million) was received and resulted in a net after-tax gain on sale of approximately $4 million. The sale price was determined by a valuation conducted by an independent valuator and was approved by a committee of independent members of the Board of Directors. In connection with this transaction, the loan from the Parent Company of $3,531,000 outstanding at December 28, 1996 was repaid on January 2, 1997.

FIVE YEAR SUMMARY

(Millions of dollars except per share and other data)



	1996	1995	1994	1993	1992
Operating Results					
Sales	540.3	478.2	424.8	360.2	202.4
Earnings before income taxes	34.2	29.2	28.3	25.8	14.0
Net earnings (1) (2)	25.0	21.9	22.3	21.4	15.5
Cash provided from operating activities	46.9	25.2	36.6	29.3	15.1
Depreciation and amortization	16.9	14.7	13.3	10.8	5.3
Financial Position					
Fixed assets	145.1	126.9	119.3	100.8	58.5
Total assets	349.1	303.8	278.6	256.0	165.6
Net cash (borrowings)	(48.9)	(45.2)	(42.0)	(33.0)	18.8
Common Share Data (dollars per share)					
Net earnings (1) (2)	1.17	1.04	1.06	1.02	0.80
Dividend declared	0.24	0.24	0.24	0.24	0.24
Other Data					
Shareholders' equity per common share	9.62	8.68	7.78	6.95	6.15
Return on shareholders' equity (%) (3)	12.2	12.0	13.6	14.7	14.8
Common shares outstanding (000's)	21,337	21,337	21,003	20,955	20,902

(1) Includes a $1.3 million ($0.06 per share) after-tax gain on disposition of a division in 1993.

(2) Earnings per common share would not be significantly diluted if all shares under the Incentive Stock Option Plan and Employees and Dealers Incentive Share Purchase Plan had been issued.

(3) Return on shareholders' equity in 1992 excludes $24 million in equity issued for the purchase of McGavin Foods, as this transaction occurred on the last day of the fiscal year.

CORPORATE DIRECTORY



Directors

Archibald D. McLean,
Chairman of the Board

J.L. Bragg

N.T. Currie

S.A. Everett

R.A. Lan

D.H. Lees

J.S. McCain

G.W.F. McCain

M.H. McCain

T.P. Muir

J.F. Petch

Senior Management

D.H. Lees,
President and Chief Executive Officer

D.A. Bradd,
Senior Vice-President, Operations

R.I. Busch,
Senior Vice-President, Human Resources

R.B. Dougans,
Senior Vice-President, Business Development and Marketing

B.J. Green,
Senior Vice-President, Food Service Sales

P.A. Nelson,
Senior Vice-President, Technical Services

L.J. Palko,
Senior Vice-President, Finance and Corporate Secretary

D.A. Somers,
Senior Vice-President, Retail Sales

C.T. Sparkes,
President, Olivieri Foods Limited



Auditors

KPMG

Registrar and Transfer Agent

Montreal Trust Company of Canada, Toronto

Head Office

10 Four Seasons Place
Etobicoke, Ontario M9B 6H7
(416) 622-2040

Annual Information Form

Copies of the Company's Annual Information Form, filed with regulatory authorities, are available from the Corporate Secretary, upon written request.

Annual Meeting

The Annual Meeting of the Shareholders of Corporate Foods Limited will be held at the Royal York Hotel, Upper Canada Room, 100 Front Street West, Toronto, Ontario, on Wednesday, April 30, 1997, at 10:00 o'clock in the forenoon.

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